Country Compliance Report:

ISRAEL

Information class: Restricted

Disclaimer. As the Israeli regulator has not yet published or clarified all relevant requirements, this CCR should be considered as a "Draft", pending further changes. Certain sections, where we foresee or required further information, have as well been explicitly marked in yellow.

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Israel which will be used throughout the whole document.

Term	Explanation
Allocation Number	A type of unique ID assigned to a cleared invoice by ITA and that must be available on an invoice prior to exchange with the buyer
Authorized Dealer	A taxpayer who is not defined as a Exempt Dealer (taxpayer). An Authorized Dealer may issue a Tax Invoice for a taxable transaction instead of a Transaction Invoice.
Clearance Response	This is the response given by ITA. If the response is positive, it will include the “Allocation Number”
Computerized invoice	A document created, sent, received, viewed, and saved by computerized means; and is signed with a "certified electronic signature" or a "secure electronic signature”. For the purpose of this document “e-invoice” will be used instead of “computerized invoice”
Concentration Invoice	The Concentration Tax Invoice is the concentration of delivery notes. This document will require an Allocation Number The original name of this document is “*ריכוז מס חשבונית*”
Delivery Note	This document should be prepared for every shipment of goods that are stock in the taxpayer’s business, including the transportation of goods that have not yet been sold, either in the taxpayer’s vehicle or third party’s vehicle. This document wont be required if an invoice is drawn up at the time of the transportation and complies with the information required as stated in section 8 of the VAT law. The original name of the document is “*משלוח תעודת*”
Emergency Allocation Number	A type of unique ID that must be obtained by the taxpayer upfront from ITA, that must be applied to invoices issued in contingency scenario
Exempt Dealer	A taxpayer whose annual turnover in all of his businesses does not exceed NIS 120.000 or a higher amount if determined by MoF. Exempt taxpayers are not allowed to issue Tax Invoices.

Invoice	Can either be a Transaction Invoice or a Tax Invoice, and either on paper or computerized.
ITA	The Israel Tax Authority ("רשות המסים בישראל")
MoF	Ministry of Finance of Israel
Receipt	A receipt is a document issued by the seller that indicates that the buyer has actually paid the seller the amount stated on a Transaction Invoice or Tax Invoice. Both exempt and authorized dealers must produce a receipt immediately upon receipt of payment from the buyer.
SHAAM	The personal tax area where taxpayers can log in and use different digital fiscal services, among them, issuing tax invoices with allocation number . Shaam is also the central clearance platform receiving information from almost every tax invoice. Taxpayers will be able to issue tax invoices with Allocation Number manually though th.
Tax Invoice	The tax invoice allows for input VAT deduction and other tax purposes. Tax invoice is subject to the new clearance regime, and in the future, all Tax Invoices above NIS 5.000 before VAT, will require to have within an Allocation Number. The original name of the document is "*חשבונית-מס*"
Tax Invoice/Receipt	Only an authorized dealers may issue a tax invoice/receipt, and only when payment is received from the buyer during the execution of the transaction. This document cannot be issued before the actual payment is received from the buyer to the supplier. An Allocation Number will be required for this document. The original name of the document is "*חשבונית מס / קבלה*"
Transaction Account/Proforma Invoice	Issued by the supplier to the buyer, this document is used by the buyer as proof that the transaction was indeed agreed upon between the parties. From the point of view of the supplier side, it is a detailed payment requirement. The document can be seen as an order confirmation of the supplier to the buyer. This document will require an Allocation Number The original name of the document is "*חשבון עסקה/פרופורמה*"
Transaction Invoice	Transaction Invoices has no tax validity, therefore, does not allow for input VAT deduction. It doesn't require the Allocation Number. Every supplier must issue a Transaction Invoice to the buyer for each transaction, even if exempt from tax, unless the buyer asks for a Tax Invoice instead a transaction invoice. The Transaction Invoice can also be seen as a payment request issued by the supplier to the buyer. The Transaction Invoice does not create a tax chargeable event, unless the payment is received, and therefore, a receipt is issued after payment received. The original name of the document is "*חשבונית עסקה*"

2. General overview

This section provides an initial introduction into the local eInvoicing environment within Israel including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance (MoF) • Israeli Tax Authority (ITA)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Tax law Bookkeeping Regulations of 1973 • Electronic Signature Law of 2001 • VAT law 1975 • Technical Specifications • Guidelines for API services for Software Manufacturers

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes[1]	• Yes ○ **Clearance** for Tax Invoices (according to defined implementation timeline) ○ **Post-audit** for (1) Tax Invoices not in scope of Clearance and (2) Transaction Invoices
e-Invoicing model	• Clearance (pre-clearance)
e-Invoice definition[2]	• Is a document created, sent, received, viewed, and saved by computerized means; and must be signed with a "certified electronic signature" or a "secure electronic signature". The definition does not specify if it is applied to purely structured invoices e.g XML files or whether it also applies to pdf files.
Scope of taxpayers the e-document mandate applies to	• All Authorized Dealers will be in scope of obtaining an Allocation Number, regardless the transaction is subject or exempt of VAT. • Transactions not requiring Allocation Number: ○ Allocation Numbers are not required on invoices without VAT ○ Non-established businesses ○ B2G transactions
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• The mandate will be implemented based on Tax Invoice net amount excl. VAT according to the following schedule:

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

	◦ **January 2024** – Invoice amount >NIS 25.000 (ca. EUR 6.100) ◦ **January 2025** – Invoice amount >NIS 20.000 (ca. EUR 4.900) ◦ **January 2026** – Invoice amount >NIS 15.000 (ca. EUR 3.700) ◦ **January 2027** – Invoice amount >NIS 10.000 (ca. EUR 2.450) ◦ **January 2028** – Invoice amount >NIS 5.000 n(ca. EUR 1.220) • See section 10.3 for more information

4. Before switching to e-invoices

4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for a IT number.

According to ITA guidelines, there is no specific threshold to register for VAT, thus, if you are a person (individual), a partnership (two or more people), or a company, who are about to sell an asset, goods or real estate, or provide a service in the course of your business - you must register as a Trader at the regional VAT office closest to the place of business or business activity. The registration must be made no later than the day the business activity began.

However, there is an exemption of registration for economic operators with an annual turnover amount lower than the "determining amount" defined and updated by MoF once a year (as of January 2024 – this amount is NIS 120.000[4]). Such operations are as well referred to as “**Exempt Dealer**”.

Foreign Resident: Taxable person who are foreign residents, engaging into business activities in Israel, shall appoint within thirty days after starting to engage or operate in the country a representative whose permanent place of residence is in Israel.

Registration Number / VAT number format: IL 123456789

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

[4] In 2021, this amount was NIS 99.893; in 2022 – NIS 102.292; in 2023 – NIS 107.692

Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• **Clearance**.
	  ○ Taxpayer must register themselves with ITA platform and obtain individual token.
	• **Post-audit**.
	  Taxpayer must notify ITA by registered email before sending the first Computerized Document.
	  ○ Consultation/approval against ITA for outsourced issuance of e-invoices is required

Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• **Clearance and Post-audit**. • Buyer consent is required to issue e-invoices. The consent must be written or electronic. The supplier must archive the consent in its accounting system
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• No explicit requirements

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	**Clearance and Post-audit.** ○ Allowed.
Whether statement of outsourced issuance is required on the invoice	• **Clearance and Post-audit**. ○ The mention "in the name and on behalf of the taxable person" must be present on the invoice
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• **Clearance and Post-Audit**. ○ An agreement is strongly recommended

Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• **Clearance**.
	  ○ No explicit requirements
	• **Post-audit**.
	  ○ No explicit requirements

Whether any notifications to or derogations from authorities are required	• **Clearance**. ○ Taxpayers must notify ITA to outsource through SP the clearance

in the specific jurisdiction for outsourced issuance	and fetching of Allocation Numbers for Tax Invoices. ◦ The outsourcing permission cannot last more than 1 year, and can be canceled at any time. ◦ More details in section 10.4 • **Post-audit**. ◦ Taxpayers must notify ITA to outsource the issuance of e-invoices through the personal area of ITA. • All explained steps to outsource the fetching of Allocation Numbers through SP can be found in the document released by ITA
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• **Clearance**. ◦ The SP must be established in Israel ◦ The SP must adopt the outsourcing permission received from the Israeli taxpayer. ◦ The adoption must be done through SHAAM by clicking "Authorization for digital operations" ◦ Go to section 10.4 for further details • **Post-audit**. ◦ No explicit requirements

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Israel has no explicit requirements on the outsourcing of the function of receiving invoices but similar to the function to issue invoices as outlined above, prior consultation with the Israeli tax administration is recommended.

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Comment
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• Local Json XML for clearing invoice with ITA • The document can be exchanged in any format, incl. paper, between trading parties after clearance with ITA
Other document format(s) commonly used for exchange between trading parties	• PDF
Mandated platform(s) required to have connection with for e-document processing	• ITA
Other platform(s) relevant for e-document processing	• ITA Web Portal for manual clearance
Schematron(s), XSD schema or other official mechanisms ensuring document content	• TBD
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party	• No explicit requirements. Email can be used to send the cleared invoice to the buyer
identification and document exchange	• No explicit requirements
Other technical aspects	• No explicit requirements

5.2. Communication with SHAAM

Regulations in Israel foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Israel is a post-audit country, there is no mandatory infrastructure to clear or validate e-invoices.

Communication options	Commentary
Automated	• API accessed through HTTPS and oauth2
Manual	• ITA Web Portal (Expected November 2023)
Other options	• N.a

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier's perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

1. **The supplier** must send invoice details to ITA in predefined XML to ITA for clearance, prior to distribution to the buyer
    a. The invoice must be issued < 14 days from the date of tax billing:
        i. For provision of services, Tax Invoice must be issued < 14 days from the day of receipt of payment from the buyer.
        ii. For supply of goods, Tax Invoice must be issued < 14 days from the day the goods were delivered to the buyer.
    b. Assigning Allocation Numbers to a batch of invoices is also possible
2. **ITA**, once the information from the transaction is submitted by the supplier, will perform validations in real-time:
    a. If approved, the clearance response from ITA will contain the Allocation Number, which must be introduced in the invoice to be distributed to the buyer. Only approved invoice has fiscal value
        i. Approval for the request of multiple Allocation Numbers for batch on invoices, the service will deliver a list of Allocation Numbers associated with each invoice number.
    b. If refused, the clearance response from ITA will include reason(s) for rejection that the supplier must correct and resubmit the invoice,
    c. There is not SLA stated on when ITA will deliver a clearance response to the supplier
3. **The supplier** upon a successful clearance (approval) must
    a. add the Allocation Number to the invoice,

b. apply e-signature on the invoice (if distributed as a computerized invoice),
c. distribute the invoice to the buyer.
d. If there is no Allocation Number in the Tax Invoice in scope of the obligation (see Section 3 – Implementation / roll out plan), such invoice will not be tax valid.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices.

No explicit requirements.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

Once the buyer has received the invoice from the supplier, the buyer will have the option (but not the obligation) to fetch the invoice data from ITA. This can be done either manually or via API. In both cases, the buyer must provide the following mandatory data elements, in order to retrieve invoice data:

- Buyer VAT number
- Allocation Number or its 9 last right digits, and
- Supplier VAT number (Mandatory only if requested).

This allows the buyer to retrieve all transaction details provided to ITA and add them to the taxpayer's computerized accounting system, for purposes of creating a monthly detailed report which must be sent to ITA (PCN874, see section 10.2).

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

No explicit requirements

5.5. AoR (response) process

A computerized notification of the receipt of document can be sent electronically but is not required.

No explicit requirements.

5.6. ITA validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

ITA will perform the following validation when taxpayers are requesting allocation numbers:

- Check all mandatory fields are filled
- Check if the seller's Registration Number belong to an Authorized Dealer.
- Check that the schema is following ITA standards.

However, during all 2024, every request for an Allocation Number for each tax invoice will be automatically answered as approved.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

A human-readable copy of the eInvoice is required to be marked up with the wording "Copy" ("*העתק*"), and only one of them will be marked with "Source" ("*מקור*") in the local formal languages (Arabic or Hebrew). Other languages may be allowed upon allowance from ITA .

The Allocation Number must appear in any graphic representation of the invoice, **with its last 9 digits in bold**. Without this one, the invoice will have no tax validity for input VAT purposes. The Allocation Number can be printed on the invoice also handwritten.

QR code is not mandatory to be present in graphic representations, but it is recommended so buyers can scan it and retrieve all the information of the invoice in a digitall manner to add it to the taxpayer's computerized accounting system.

Proforma Invoice must state the following message "Input tax for this document cannot be offset" ("*לא ניתן לקזז מס תשומות בגין מסמך זה*")

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

The supplier can distribute the invoice to the buyer by any means agreed between the parties. Therefore, the distribution can be done by physical or electronic means.

5.9. Rectification process[5]

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

In Israel, if a transaction is canceled, in whole or in part, or its terms are changed, or an error is discovered in the invoice, or the amount of the invoice is changed for any reason, the seller shall proceed as follows:

- If the original invoice has not been given to the buyer and has not been reported in the periodic report, then the invoice shall be canceled by marking the words "Cancelled" ("מבוטל") on the original and the copies, and attach the original invoice together with the copies.
- If the original invoice was given to the buyer, then a credit note shall be issued containing the following:
  - The amount of debit or credit
  - The referenced invoice number
  - The reason for changing the amount
  - The revised amount

It is required for the supplier to obtain buyer's confirmation upon exchange of a credit note, as without such confirmation the supplier will not be entitled to any VAT deduction under the specific transaction. Such confirmation can be achieved:

- if the buyer sends a copy of the credit note signed
- If the buyer confirms the credit note through fax
- If the supplier sends through registered email the credit note as a computerized document to the buyer[6].

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note.
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Other • In this case the supplier needs to transfer the additional funds to the client and remain with the original tax invoice which reflects the accurate transaction.

[5] Invoice correction procedure can be found in section 23a of Bookkeeping Law
[6] Bookkeeping law, section 9 (e), (9)

What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit note
Other scenarios with different correction option	• No
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Not allowed
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Allowed
Whether any conditions apply, and which, to the dematerialisation	• No explicit requirements
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Allowed
Whether any conditions apply, and which, to the materialisation	• No explicit requirements

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available or allowed, to facilitate invoicing during the downtime.

The Emergency Allocation Number is intended to be used whenever any type of failure arises and the possibility to request the Allocation Number is not available.

1) <u>Requesting Emergency Allocation Numbers</u>

Taxpayers are adviced to be prepared in advance by contacting ITA service to receive Emergency Allocation Numbers. Onced these emergency numbers are received, the taxpayer should save them until the emergency occurs and is necessary to use them.

The emergency number should be used in case of failure and is subject to a minimum amount of <u>5 failed attemps</u> to get the Emergency Allocation Number. Service Providers will be required to document the failed attempts to the regular service.

2) <u>Reporting invoices with Emergency Allocation Number</u>

After the failure is over, all invoice details must be reported to ITA <u>together with the utilised Emergency Allocation Numbers</u>. ITA will have a service available for sending the invoice details for this intention, once the failure is over.

<u>ITA allows another alternative instead of using Emergency Allocation Numbers</u>:

Taxpayers can request standard Allocation Numbers by using the manual application provided by ITA.

6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	Documents with Allocation Number: • Tax Invoice (code 305) • Concentration Tax Invoice (code 310) • Tax Invoice/Receipt (code 320) • Tax Credit Invoice (code 330) • Transaction Account/ Proforma Invoice (code 332) Documents without Allocation Number: • Transaction Invoice (code 300) • Tax Invoice I (code 306, will be implemented in the future) • Tax Credit Invoice I (code 331, will be implemented in the future)
Documents mandatory for issuance by buyer	• No

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	No

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary

A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

ITA will be assigning an “Allocation Number” for each cleared invoice. It will be the taxpayer’s responsability to display this number in the invoice, before distributing to the recipient.

What will be the structure?

Seems as the allocation number will be composed of 25 numbers.

6.3. Indirect tax (IT)[7] rates

This section illustrates the applied IT[8] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
17%	**Standard**	All other taxable goods and services.
0%	**Zero**	Exports of goods, sale of fresh fruit and vegetables, Supplies of intangibles to foreign residents, Supplies of services to foreign residents, Hotel accommodation for tourists, Leasing private cars to tourists, Tourist transportation, Supply of monitor services with regard to clinical trials conducted in Israel

[7] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[8] Local name מע"מ (מס ערך מוסף)

	Exempt	Leasing of apartments for residence purposes for a period that does not exceed 25 years, Transactions made by a business that is below the registration threshold, Sales of diamonds and precious stones

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Israel. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes, required to mention “Tax Invoice” or “Tax invoice/receipt”
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Yes, Please note that the registration in the bookkeeping system (incl. internal documentation such as receipts, invoices and tax invoices) shall be in Hebrew or Arabic, unless, a relief was given by the ITA.
Sequential numbering	• Yes
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• No specific requirements

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• Yes provided that the legal address is mentioned as well and it is clearly mentioned
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• No
IT identification number of the supplier in the country of establishment	• Yes
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Yes only if the address of the fiscal representative is used as the address of the supplier i.e. the supplier is operating from the offices of the supplier.
Legal form of the supplier	• Yes

Trade register number of the supplier	• Yes, authorized taxpayer number of the supplier
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• Yes, company number is required
Place of legal seat of the supplier (Headquarters)	• No, but recommended
Other supplier data	• Every Tax Invoice should mention the wording "Authorized Dealer" (“עוסק מורשה”) • The wording “Tax Invoice” should also be included

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• Yes, provided the full legal name is mentioned as well
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No, but recommended
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• Yes provided that the legal address is mentioned as well and it is clearly mentioned
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Yes, if available
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• N.a
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• Yes, only if the address of the fiscal representative is used as the address of the supplier i.e. the supplier is operating from the offices of the supplier.
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Only if it differs from the invoice date
Date of prepayment	• No, but recommended

Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No, but recommended
Shipped from location (for the supply of goods)	• No, but recommended • Shipping certificate/Delivery note is required to be attached to the shipment
Shipped to location (for the supply of goods)	• No, but recommended • Shipping certificate/Delivery note is required to be attached to the shipment
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended • Especially in case of cross-border transactions
Incoterms	• No, but recommended • Especially in case of cross-border transactions
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• A detailed description of the supplied goods/services is preferred.

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• Yes
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• The total sum before VAT and after VAT.
Exchange rate (if the invoice is not issued in the local currency)	• Yes.
Which exchange rate must be applied in order of priority	• The applicable rate of the tax invoice issuance date: https://www.boi.org.il/he/Markets/ExchangeRates/Pages/Default.aspx
Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• No, but recommended

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• No, but recommended
List the required references in case of exemption or reverse charge	• No official guidelines in that respect. It is recommended to keep every reference to the applicability of issuing a self-tax invoice (the foreign invoice issued by the service provider) or the applicability of an exempt transaction. • If there is a reference to the reason for self-tax invoice issuance it is recommended to keep it attached to the self-tax invoice. For example drop shipment of goods, it is advisable to attach the references that the place of supply is outside of Israel.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• N.a
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• N.a
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• No
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No specific requirement other than a tax invoice must include all of the required details.
Specific references required in case invoicing is outsourced	• There is no specific wording.
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• The word "original" must be printed on the original document

	• It is recommended to add the wording "computerized document" to the e-invoice.

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

After every payment, a Receipt should be issued by the seller, confirming that the payment was achieved. These Receipts will require the Payer's name and address, unless the transaction encompasses "Cash retail sales"[9].

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• NIS 710 (ca. EUR 175)
Other supplies for which a simplified invoice can be issued	• N.a
Simplified invoices limited to certain type of supplies	• Yes, retail sales
Simplified invoices not allowed for certain transactions	• N.a
Minimum content requirements on a simplified invoice	• N.a
Invoices subject to the national invoice requirements (not self-bills)	• N.a
(other) Invoices subject to the national invoice requirements (not self-bills)	• N.a

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Israel a credit/ debit note must be issued as rectification documents. A credit/ debit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number

[9] Section 5, A, (4); Bookkeeping Law

Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• Yes
Reason for credit required	• No, but recommended

Sequential numbering	
Separate sequential credit note numbering required	• Yes
Allowed to issue one credit note to correct different invoices	• Yes

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

Not explicity regulated.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• Any means Business Controls, EDI, e-signature • E-signature is mandatory in all electronic invoices	• Any means Business Controls, EDI or e-signature Validation accepted
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Same as above	• Same as above

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	As defined in the Electronic Signature Law: • Secure Electronic Signature • Certified Electronic Signature

Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• Optional
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• **Computerized document**: Original invoice with Allocation Number or Emergency Allocation Number in it (if required) and e-signature • **Scanned documents**: dematerialization of documents shall be archived with e-signature • **Receipts** must also be be archived • Pagero strongly recommends to archive any type of clearance response received from ITA.
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property[10]	• 7 years
Start point of retention period calculation for invoices not related to immovable property	• The issuance date of the document
Retention period for e- invoices related to immovable property	• 7 years

[10] Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for invoices related to immovable property	• The issuance date of the document
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• 7 years
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• The issuance date of the document
Outsourced archiving	• Allowed with prior approval from the tax authority. No need of certification.
Archiving abroad[11] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Permitted everywhere, if approved by ITA
Other requirements in relation to electronic document retention	• Invoices must be printable from the archive upon request. • The digital archive should have a search function, where each electronic record should be searchable, incl. the following features: o Interface with the ability to browse all archive folders. o Search results will be displayed in a list from which a table can be created. o Ability to produce a visual or printed output of the search results.

[11] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements for issuing purchase orders • Order confirmation: Issued by the supplier to the buyer. The document to use is Transaction account/ Proforma, and should be used in cases where the buyer requires an order confirmation from the supplier prior to payment.
Rectification document	• Yes, see section 6.7 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Yes, taxpayers using computerized accounting systems, must report on a monthly/bimontly basis the PCN874. See section 10.2 for more info
Transportation documents	• Yes, delivery note. This document wont be required if an invoice with the necessary information as stated in section 8 of VAT law is held.
Other	

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Indirect tax reports

Taxpayers using computerized accounting systems are required to submit a detailed report better known as PCN874, to the Israel Tax Authority, **on a monthly basis**.

Taxable persons with annual turnover below NIS 1.615 million (ca. EUR 375.000) are required to submit and pay VAT return reports **on a bi-monthly basis**.

The PCN874 details, among other things, the Tax Invoices that businesses issued and received. This report is done for VAT return purposes. Submiting the report and paying the tax online should be generally done **no later than the 23rd of the following month**.

Taxpayers who do not have software that enables PCN874 file generation are able to file such report manually, it will however be limited to only 100 sale invoices and 100 purchase invoices.

10.2. Penalties

Sanctions

Those tax invoices requiring Allocation Number and not having it, buyers will not be to deduct the input VAT

Penalties

Penalties related to not having present in a Tax Invoice the Allocation Number will start in January 2025.

Imprisonment

Israel states strong punishments to anyone who violates provisions of their VAT law. According to section 117, taxpayers shall be sentenced to **one year in prison**:

- If the taxpayer issued a tax invoice without being entitled to do so, or after being prohibited from doing so.
- If the taxpayers did not record an transaction on a cash register tape, receipt slip, or an invoice.
- If the taxpayer did not issue a tax invoice, when it was required.

10.3. Clearance Model

The CTC clearance model that ITA is implementing will require authorized dealers/taxpayers to transfer information to ITA when four (4) cumulative points are met:

- The invoice amount before VAT is higher than:
  - In 2024 – NIS 25.000 (Pilot period)
  - In 2025 – NIS 20.000
  - In 2026 – NIS 15.000
  - In 2027 – NIS 10.000
  - In 2028 – NIS 5.000
- The invoice includes a non-zero VAT component
- The buyer is an “Authorized Dealer”
- The buyer is the one requiring the Allocation Number

However, authorized dealers are allowed to get an Allocation Number for any Tax Invoice.

During the pilot period, which will start in 2024, any request for Allocation Number will be approved and the VAT authorities will not be allowed to refuse or delay such number.

10.4. SPs Registration to API services

ITA requires authorized taxpayers/dealers to perform the following steps in SHAAM to obtain permission to outsource the clearance and fetching of Allocation Numbers to Service Providers (SP):

Registering the SP in SHAAM

1. Taxpayers must enter to their personal area account , and click the subject link "Digitality for authorization operations" ("הרשאה לפעולות דיגיטליות ") and select https://secapp.taxes.gov.il/srsherutatzmi
   a. Taxpayers not yet registered for the online services of the Tax Authority must first complete a registration procedure and give a digital authorization to the SP who will act on their behalf (for the purpose of registration in SHAAM)
2. The taxpayer must select the SP in the pop-up window.
   a. Those SPs not appearing in the drop-down list, taxpayers must select "Additional registration for a corporation" (“רישום נוסף עבור תאגיד”) in the last line and select "Registration / update for a corporation" (“רישום / עדכון עבור תאגיד”).
   b. During the registration process, the system will verify that there is a relationship between the taxpayer and the SP. Taxpayers will be asked for several verification questions about the corporation.

   c. After the connection is created, the taxpayer must return to the authorization system (through the personal area) and select the created SP
3. In the next step, the identity of the selected SP must be specified.
4. The service "authorization to act on behalf of a third party authorized by the corporation" (“התאגיד את שהסמיכו ג׳ צד בשם לפעול הרשאה”) must be selected.
5. On the next screen, the taxpayer must choose the outsourcing period (no longer than 1 year), and finally a digital signature will be given as a granting of the permission.
6. The registered SP will receive a message/email inviting him to adopt the authorizations a as long as he is registered with the online services of the Tax Authority. If the SP has not yet registered, the SP must be directed to enter the personal area, including identification and registration beforehand. In the personal area, the SP will have to click on the "Authorization for digital operations" (“דיגיטליות לפעולות הרשאה”) button, in order to adopt the permissions received from the taxpayer and start operating in the applications for which authorization has been granted.

Around two weeks before the authorization given to the SP expires, the taxpayers will receive a notification by text message/email with a reference to their personal area at the tax authority.

<u>Registering the SP in the developers portal</u>

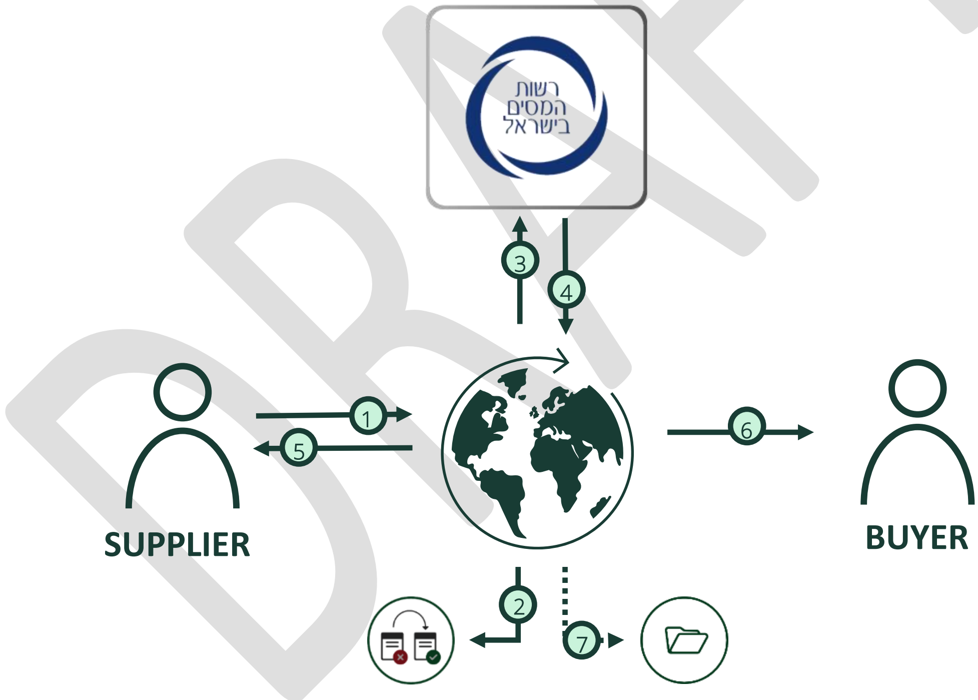
1. The taxpayer must send the following documents signed to lakohotbt@taxes.gov.il
   a. Letter of commitment to use API services
   b. Appendix A (contact details)
   c. Appendix B (Only if the SP is from abroad)
   d. Information security annex for SP
2. The weight of the files sent to ITA shall be up 5mb, otherwise, the files won’t arrive to ITA.
3. Create an “Organization” (SP) in the developers portal
4. Once the taxpayer receives confirmation from ITA, the created “Organization” will be able to be seen next to the user name, on the top right-hand corner.
5. The user who created the organization is defined as its admin and should match the person listed in the registration request.
6. To grant multiple developers access to the “Organization” and to any apps that may be associated with it, the taxpayer needs to invite each developer on the organization's page. Each developer will require their personal Israeli ID number to enter int the developers portal.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

Partner, or PAGERO will act directly?,

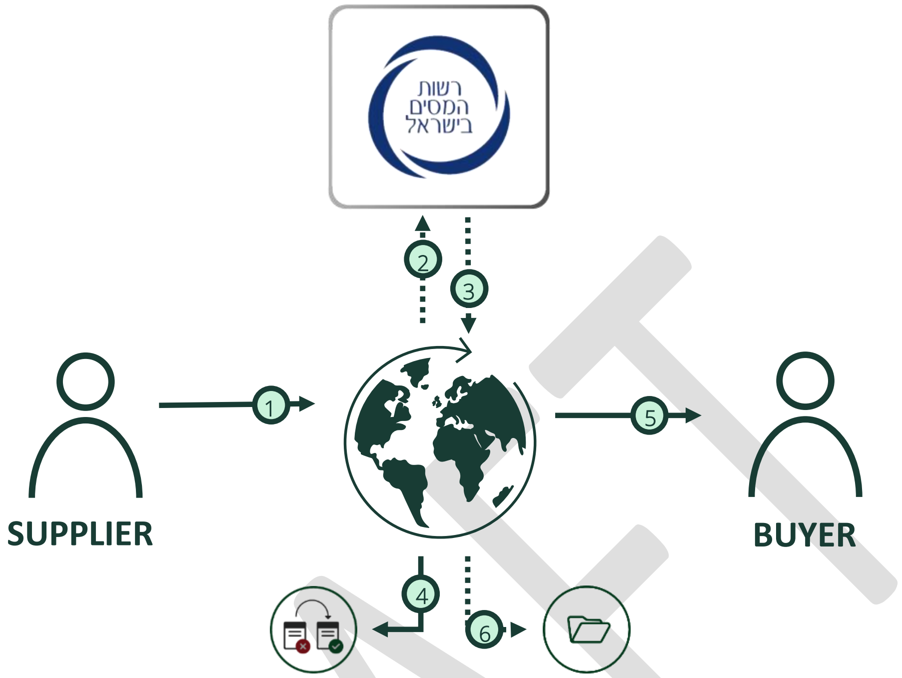
11.1. Document issuance (AR) with Pagero



1. The supplier sends the invoice to PAGERO in supplier's preferred format.
2. PAGERO enrichs the invoice with all mandatory content requirements demanded by ITA
3. PAGERO clears the invoice and request for the Allocation Number against ITA
4. If the request is accepted, ITA will deliver to PAGERO the Allocation Number.
5. PAGERO transmits the ITA's clearance response to the supplier, and adds the Allocation Number in the invoice.
6. PAGERO distributes the invoice to the Buyer.

7. PAGERO proceeds to archive all relevant documents of the transaction.

11.2. Document reception (AP) with Pagero



1. PAGERO receives from the Supplier or Supplier's SP the invoice containing the Allocation Number in Supplier's preferred format
2. Optionally, PAGERO retrieves invoice dat using the Allocation Number or its lasts 9 right digits against ITA
3. PAGERO receives invoice data after request through ITA's service
4. PAGERO proceeds to do enrichment according to buyers request, convert the received document into the buyer's preferred format, and applies e-signature if a paper invoice is converted to a graphic format or XML
5. PAGERO distributes the document to the buyer in the Buyer's preferred format.
6. PAGERO archives all relevant documents on Buyer's behalf.

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
04 September 2023	• Document created
	•